Chapter 11

Trade Policy in Developing Countries

■ Chapter Organization

Import-Substituting Industrialization.

The Infant Industry Argument.

Promoting Manufacturing Through Protection.

Case Study: Mexico Abandons Import-Substituting Industrialization.

Results of Favoring Manufacturing: Problems of Import-Substituting Industrialization.

Trade Liberalization since 1985.

Trade and Growth: Takeoff in Asia.

Box: India's Boom.

Summary

■ Chapter Overview

The final two chapters on international trade, Chapters 11 and 12, discuss trade policy considerations in the context of specific issues. Chapter 11 focuses on the use of trade policy in developing countries and Chapter 12 focuses on new controversies in trade policy.

Although there is great diversity among developing countries, they share some common policy concerns. These include the development of domestic manufacturing industries, the uneven degree of development within the country, and the desire to foster economic growth and improve living standards. This chapter discusses both the successful and unsuccessful trade policy strategies that have been applied by developing countries in attempts to address these concerns.

Many developing countries pose the creation of a significant manufacturing sector as a key goal of economic development. One commonly voiced argument for protecting manufacturing industries is the *infant industry argument*, which states that developing countries have a potential comparative advantage in manufacturing and can realize that potential through an initial period of protection. This argument assumes *market failure* in the form of imperfect capital markets or the existence of externalities in production. Such a market failure makes the social return to production higher than the private return. Without some government support, the argument goes, the amount of investment that will occur in this industry will be less than socially optimal levels. Government support can theoretically raise investment up to the socially optimal level. Given these arguments, many nations have attempted import-substituting industrialization, where government support is focused on those industries that compete directly with imports. In the 1950s and 1960s, the strategy was quite popular and did lead to a dramatic reduction in imports in some countries. The overall result, though, was not a success. The infant industry argument did not always hold, as protection could let young industries survive but could not make them efficient. The methods used to protect industries were often complex and overlapped across industries, in some cases leading to exorbitantly high rates of protection. Furthermore, protection often led to an inefficiently small scale of production within countries by creating competition over monopoly profits that would not have existed without protection. By the late 1980s, most countries had shifted away from the strategy, and the chapter includes a case study of Mexico's change from import substitution to a more open strategy.

Since 1985, many developing countries have abandoned import substitution and pursued (sometimes aggressively) trade liberalization. The chapter notes two sides of the experience. On the one hand, trade has gone up considerably and changed in character. Developing countries export far more of their GDP than prior to liberalization, and more of it is in manufacturing as opposed to primary commodities. On the other hand, the growth experience of these countries has not been universally good, and it is difficult to tell if the success stories are due to trade or due to reforms that came at the same time as liberalization. While countries such as the "Asian Tigers," China and India, have experienced spectacular rates of growth following trade liberalization, only part of this growth can be attributed to trade reform. Furthermore, countries such as Brazil and Mexico that have also moved toward freer trade have not experienced the same rates of economic growth.

■ Answers to Textbook Problems

1. The countries that seem to benefit most from international trade include many of the countries of the Pacific Rim: South Korea, Taiwan, Singapore, Hong Kong, Malaysia, Indonesia, and others. Though

the experience of each country is somewhat different, most of these countries employed some kind of infant industry protection during the beginning phases of their development but then withdrew protection relatively quickly after industries became competitive on world markets. Concerning whether their experiences lend support to the infant industry argument or argue against it is still a matter of controversy. However, it appears that it would have been difficult for these countries to engage in export-led growth without some kind of initial government intervention. Similarly, both China and India have experienced rapid economic growth following economic liberalization and increased openness. Although part of their growth may be attributed to a reduction in trade barriers, other factors certainly played a role. This disparity is underscored by the fact that nations such as Mexico and Brazil also liberalized trade but have yet to see comparable rates of economic growth.

2. The historical trade policy of the United States in terms of tariff rates is fairly similar to that of developing countries in the 20th century. Tariff rates in the United States averaged around 40% until the mid 1940s. These rates are actually a bit higher than those across all developing countries in the latter half of the 20th century.

   That said, the experiences of the United States and developing countries with protectionist trade policies have been quite different. Just because tariff rates in the United States were similar to those in developing countries does not mean that everything else was similar between these countries. The United States in the early 20th century had higher levels of human capital and an institutional environment more compatible with economic growth than many developing countries today. Thus, it is arguable that the United States would have experienced economic growth even in the absence (or possibly in spite of) high tariff rates. The apparent success of protection represents a "pseudoinfant industry" case of the kind discussed in the text.

3. a. The initial high costs of production would justify infant industry protection if the costs to the society during the period of protection were less than the future stream of benefits from a mature, low-cost industry.

   b. An individual firm does not have an incentive to bear development costs itself for an entire industry when these benefits will accrue to other firms. The first firm will not factor in how its investment benefits other firms, yielding an inefficiently low level of investment relative to the social optimum. There is a stronger case for infant industry protection in this instance because of the coordination failure resulting from each firm's technology investment generating positive externalities for other firm's in the industry.

4. One explanation for this divergence is the 1994 North American Free Trade Agreement (NAFTA). Mexico's proximity to a major market (the United States) magnified the apparent benefits of free

trade. Joining NAFTA required Mexico to liberalize trade much more than Brazil. While Brazil is a member of Mercosur (along with Argentina, Bolivia, and Paraguay), this agreement does considerably less to liberalize trade than NAFTA and the participants represent less lucrative export markets than NAFTA. Thus, the perceived benefits of trade liberalization for Brazil may have been smaller.

In addition, the promised benefits of trade liberalizations have not necessarily manifested in Brazil, with the country experiencing slower economic growth since trade liberalizations in the 1980s. Furthermore, there is a perception that freer trade has magnified income inequality in Brazil. This point of view may have reduced the public's appetite for free trade in Brazil. Interestingly, free trade has not necessarily translated into stronger growth in Mexico either, though most economists blame sluggish growth more on poor education than on trade liberalizations.

5. In some countries, the infant industry argument simply did not appear to work well. Such protection will not create a competitive manufacturing sector if there are basic reasons why a country does not have a competitive advantage in a particular area. This was particularly the case in manufacturing where many low-income countries lack skilled labor, entrepreneurs, and the level of managerial acumen necessary to be competitive in world markets. The argument is that trade policy alone cannot rectify these problems. Often manufacturing was also created on such a small scale that it made the industries noncompetitive where economies of scale are critical to being a low-cost producer. Moreover protectionist policies in less-developed countries have had a negative impact on incentives, which has led to "rent-seeking" or corruption.